

## 1.1.4 Microfinance Institutions (MFIs) in Nepal

### 1. Meaning of Microfinance Institutions

**Microfinance Institutions (MFIs)** are specialized financial institutions that provide **small-scale financial services** to low-income people, poor households, micro-entrepreneurs, farmers, and people who have limited access to traditional banking services.

**Microfinance** भन्नाले केवल सानो ऋण दिने प्रणाली मात्र होइन। यसले low-income and financially excluded people लाई **small loans, savings, insurance, financial literacy** तथा अन्य **financial services** मार्फत आर्थिक गतिविधिमा सहभागी गराउने काम गर्छ।

#### Simple Definition

**Microfinance Institutions** are financial institutions that provide small-scale financial services to low-income and economically disadvantaged people, especially those who cannot easily access traditional banking services.

नेपालको सन्दर्भमा लघुवित्त वित्तीय संस्था (घ वर्ग) लाई नेपाल राष्ट्र बैंकले नियमन तथा सुपरिवेक्षण गर्छ। नेपाल राष्ट्र बैंकको Microfinance Institutions Supervision Department ले MFIs को **onsite supervision, offsite supervision, enforcement** तथा **financial inclusion activities** हेर्छ।

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## 2. Microfinance in Nepalese Perspective

नेपालमा धेरै मानिसहरू:

- Rural areas मा बस्छन्
- Formal banking service बाट टाढा छन्
- Regular income कम हुन्छ
- Collateral अर्थात् धितो राख्ने सम्पत्ति हुँदैन
- Small business सुरु गर्न चाहन्छन्
- Traditional banks बाट loan लिन कठिन हुन्छ

यस्तो अवस्थामा **microfinance institutions** ले **financial inclusion** को माध्यमको रूपमा काम गर्छन्।

#### Example

मानौं, सिन्धुलीकी मायासँग रु. ५०,००० को सानो तरकारी व्यवसाय सुरु गर्ने योजना छ। तर उनीसँग bank loan का लागि आवश्यक ठूलो collateral छैन।

Microfinance institution ले:

1. उनलाई local group मा सहभागी गराउँछ।
2. Group saving सुरु गराउँछ।
3. Business plan हेर्छ।
4. Small loan उपलब्ध गराउँछ।
5. Loan को उपयोग र repayment monitor गर्छ।
6. Financial literacy पनि प्रदान गर्न सक्छ।

यसरी सानो ऋण → → → हुन सक्छ।

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### 3. Main Objectives of Microfinance Institutions

#### 3.1 Financial Inclusion

**Financial inclusion** भन्नाले सबै वर्गका मानिसलाई formal financial services मा पहुँच उपलब्ध गराउनु हो।

विशेषगरी:

- Poor households
- Rural people
- Women
- Small entrepreneurs
- Farmers
- Low-income groups

लाई banking services मा ल्याउनु microfinance को मुख्य उद्देश्य हो।

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#### 3.2 Poverty Reduction

लघुवित्तले गरीब परिवारलाई productive activities का लागि ऋण उपलब्ध गराउँछ।

### Example:

रु. १,००,००० loan लिएर:

- बाख्रा पालन
- तरकारी खेती
- सिलाई-बुनाई
- सानो पसल
- कुखुरा पालन

सुरु गर्न सकिन्छ।

यदि व्यवसाय सफल भयो भने income बढ्छ र household poverty घट्न सक्छ।

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### 3.3 Women Empowerment

नेपालमा microfinance ले महिला आर्थिक सशक्तीकरणमा महत्वपूर्ण भूमिका खेलेको छ।

महिलाहरूले:

- Group saving गर्छन्
- Loan लिन्छन्
- Business सञ्चालन गर्छन्
- Financial decisions मा सहभागी हुन्छन्
- Family income मा योगदान गर्छन्

यसले आर्थिक मात्र होइन, सामाजिक decision-making power पनि बढाउन सक्छ।

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### 3.4 Promotion of Entrepreneurship

Microfinance provides **micro-credit for micro-enterprises**.

### Examples:

| Business           | Possible Use of Microfinance            |
|--------------------|-----------------------------------------|
| Tea shop           | Equipment and working capital           |
| Goat farming       | Purchase of goats and shed construction |
| Vegetable farming  | Seeds, fertilizer and irrigation        |
| Tailoring          | Sewing machine                          |
| Small grocery shop | Purchase of stock                       |
| Poultry farming    | Chicks, feed and equipment              |

## 4. Major Services Provided by MFIs

### 4.1 Microcredit

**Microcredit भनेको low-income borrowers लाई दिइने सानो आकारको ऋण हो।**

यो ऋण निम्न कार्यका लागि प्रयोग हुन सक्छ:

- Agriculture
- Livestock
- Small business
- Education-related needs
- Housing improvement
- Small-scale production

### Example

एक समूहका ५ सदस्यले प्रत्येकले रु. ५०,००० loan लिए।

**Total group credit = 5 × Rs. 50,000 = Rs. 250,000**

यसबाट प्रत्येक सदस्यले आफ्नो सानो business सञ्चालन गर्न सक्छ।

### 4.2 Micro-Savings

MFIs ले ग्राहकहरूलाई सानो-सानो रकम नियमित रूपमा बचत गर्न प्रोत्साहित गर्छन्।

## Example

यदि एक सदस्यले प्रत्येक महिना रु. ५०० बचत गर्छ भने:

$$\text{Annual saving} = \text{Rs. } 500 \times 12 = \text{Rs. } 6,000$$

यसले:

- Saving habit विकास गर्छ
- Emergency मा सहयोग गर्छ
- Future investment का लागि capital बनाउँछ

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### 4.3 Micro-Insurance

Microfinance clients लाई **low-cost insurance services** उपलब्ध गराउन सकिन्छ।

यसले निम्न जोखिममा सहयोग गर्न सक्छ:

- Life risk
- Accident risk
- Livestock risk
- Crop-related risk

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### 4.4 Financial Literacy

MFI's ले ग्राहकलाई निम्न विषयमा जानकारी दिन सक्छन्:

- Saving को महत्व
- Loan management
- Interest rate
- Repayment
- Budgeting
- Financial planning
- Digital payment
- Fraud awareness

**Financial literacy** बिना loan लिएमा **debt management** कठिन हुन सक्छ। त्यसैले financial education microfinance को महत्वपूर्ण भाग हो।

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## 5. Important Features of Microfinance Institutions

### 1. Small Loan Size

सामान्य commercial bank loan भन्दा loan amount relatively सानो हुन्छ।

### 2. Group-Based Lending

धेरै microfinance programs मा borrowers लाई समूहमा संगठित गरिन्छ।

### 3. Limited Collateral Requirement

परम्परागत bank loan को तुलनामा physical collateral को आवश्यकता कम हुन सक्छ।

### 4. Regular Repayment

Loan को repayment weekly, monthly वा अन्य निर्धारित schedule अनुसार हुन सक्छ।

### 5. Rural and Remote Focus

नेपालका दुर्गम तथा rural areas मा financial access विस्तार गर्नु मुख्य उद्देश्य हो।

### 6. Savings Mobilization

ग्राहकहरूलाई बचत गर्न प्रोत्साहित गरिन्छ।

### 7. Social Development

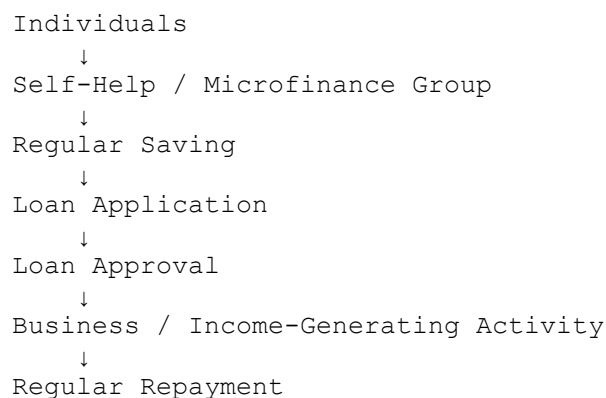
Microfinance को उद्देश्य केवल financial profit मात्र नभई **social and economic empowerment** पनि हो।

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## 6. Group Lending Model

नेपालमा microfinance को महत्वपूर्ण feature **group-based lending** हो।

### Working Process



## Example

एक गाउँमा ५ जना महिलाले समूह बनाए:

- प्रत्येकले नियमित बचत गरे।
- समूहका सदस्यहरूको financial discipline जाँचियो।
- एक सदस्यले बाख्रा पालनका लागि loan लिइन्।
- अर्कोले tailoring business सुरु गरिन्।
- अर्कोले vegetable farming सुरु गरिन्।

यसरी **group responsibility + financial discipline** ले microfinance operation मा सहयोग गर्छ।

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## 7. Role of Microfinance in Nepal

### 7.1 Rural Development

नेपालका rural areas मा bank branches सीमित भएका अवस्थामा MFIs ले financial services पुर्‍याउन सहयोग गर्छन्।

यसले:

- Rural business
- Agriculture
- Livestock
- Cottage industries

लाई सहयोग गर्छ।

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## 7.2 Employment Generation

Microfinance loans बाट small enterprises स्थापना भएपछि **self-employment** तथा **local employment** सिर्जना हुन सक्छ।

### Example

रु. २ लाख loan लिएर एक व्यक्तिले poultry farm सुरु गर्‍यो।

त्यसबाट:

- व्यवसायी स्वयंलाई income
- परिवारका सदस्यलाई काम
- स्थानीय supplier लाई business

प्राप्त हुन सक्छ।

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## 7.3 Capital Formation

सानो-सानो saving बाट ठूलो capital formation हुन्छ।

### Example:

१०० जना सदस्यले प्रत्येक महिना रु. ५०० बचत गरे भने:

**Monthly saving =  $100 \times \text{Rs. } 500 = \text{Rs. } 50,000$**

यसरी regular saving ले community-level financial resources निर्माण गर्न सहयोग गर्छ।

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## 7.4 Social Empowerment

Microfinance ले:

- Women empowerment
- Self-confidence



- Decision-making
- Financial independence

बढाउन सहयोग गर्न सक्छ।

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## 8. Regulatory Framework in Nepal

नेपालमा नेपाल राष्ट्र बैंक (NRB) ले microfinance institutions को licensing, regulation तथा supervision मा महत्वपूर्ण भूमिका खेल्छ।

नेपाल राष्ट्र बैंकको संरचनामा **Microfinance Institutions Supervision Department (MFISD)** ले MFIs को:

- On-site inspection
- Off-site supervision
- Regulatory compliance
- Enforcement
- Financial inclusion-related activities

हेर्ने गर्छ।

### **Class “D” Financial Institutions**

नेपालको banking classification मा microfinance institutions लाई सामान्यतया **Class “D” financial institutions** का रूपमा चिनिन्छ।

**Important:** नेपाल राष्ट्र बैंकको current regulatory framework समयअनुसार update हुने भएकाले exact capital requirements, lending limits, interest-rate provisions तथा other regulatory ratios लाई सम्बन्धित वर्षको NRB Unified Directives बाट हेर्नुपर्छ।

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## 9. Current Status of Microfinance Sector in Nepal

नेपालमा microfinance sector financial system को महत्वपूर्ण हिस्सा हो।

नेपाल राष्ट्र बैंकको 2024/25 Annual Report अनुसार mid-July 2025 मा Nepal मा 52 वटा NRB-licensed microfinance institutions थिए। सोही समयमा microfinance institutions को total assets and liabilities **Rs. 607.56 billion** पुगेको थियो।

यसले नेपालमा microfinance sector को:

- Large outreach
- Significant financial size
- Financial inclusion मा महत्वपूर्ण भूमिका

देखाउँछ।

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## 10. Examples of Microfinance Institutions in Nepal

नेपालमा नेपाल राष्ट्र बैंकबाट licensed विभिन्न microfinance financial institutions सञ्चालनमा छन्।

उदाहरणका रूपमा:

- Nirdhan Utthan Laghubitta Bittiya Sanstha Ltd.
- Chhimek Laghubitta Bittiya Sanstha Ltd.
- Swabalamban Laghubitta Bittiya Sanstha Ltd.
- Deprosc Laghubitta Bittiya Sanstha Ltd.
- Forward Microfinance Laghubitta Bittiya Sanstha Ltd.

तर specific institution को current status, merger, name change वा license status परिवर्तन हुन सक्ने भएकाले updated information का लागि NRB को official licensed BFIs list हेर्नुपर्छ।

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## 11. Advantages of Microfinance Institutions

### 1. Financial Access

Banking service बाट excluded people लाई finance उपलब्ध गराउँछ।

### 2. Small Business Development

Small enterprises स्थापना गर्न सहयोग गर्छ।

### 3. Poverty Reduction

Income-generating activities मार्फत poverty घटाउन सहयोग गर्न सक्छ।

### 4. Women Empowerment

महिलाहरूलाई financial independence प्राप्त गर्न सहयोग गर्छ।

### 5. Employment Creation

Self-employment र local employment सिर्जना गर्छ।

### 6. Saving Habit

Low-income people मा saving culture विकास गर्छ।

### 7. Rural Economic Development

Rural economy लाई चलायमान बनाउन सहयोग गर्छ।

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## 12. Problems and Challenges of MFIs in Nepal

### 12.1 High Interest Burden

यदि lending interest rate उच्च भयो भने low-income borrowers माथि repayment pressure बढ्न सक्छ।

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### 12.2 Multiple Borrowing

एकै व्यक्तिले धेरै financial institutions बाट loan लिँदा **multiple borrowing** हुन सक्छ।

### Example

MFI A → Rs. 100,000 loan

MFI B → Rs. 150,000 loan

MFI C → Rs. 100,000 loan

Total Debt = Rs. 350,000

यदि borrower's income कम छ भने repayment कठिन हुन सक्छ।

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### 12.3 Over-Indebtedness

**Over-indebtedness** भन्नाले borrower को repayment capacity भन्दा बढी debt हुनु हो।

यो microfinance sector को serious challenge हुन सक्छ।

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### 12.4 Misuse of Loans

Business का लागि लिएको loan:

- Consumption
- Social ceremonies
- Other debt repayment

मा प्रयोग भएमा productive income generate नहुन सक्छ।

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### 12.5 Weak Financial Literacy

केही borrowers ले:

- Interest calculation
- Loan terms
- Penalty
- Repayment schedule

राम्ररी नबुझ्न सक्छन्।

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### 12.6 Difficult Geography

नेपालको:

- Mountainous terrain
- Remote settlements

- Poor transportation infrastructure

का कारण remote areas मा financial service पुर्‍याउन operational cost धेरै हुन सक्छ।

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## 12.7 Governance and Institutional Risk

MFIs को good governance, risk management, internal control तथा responsible lending अत्यन्त महत्वपूर्ण हुन्छ।

नेपाल राष्ट्र बैंकले MFIs को supervision का लागि dedicated department मार्फत onsite र offsite supervision गर्छ।

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## 13. Microfinance vs Commercial Bank

| Basis       | Microfinance Institutions                       | Commercial Banks                           |
|-------------|-------------------------------------------------|--------------------------------------------|
| Main Target | Low-income and financially excluded people      | General customers and businesses           |
| Loan Size   | Generally small                                 | Small to very large                        |
| Collateral  | Often limited/alternative mechanisms            | Usually formal collateral for many loans   |
| Main Focus  | Financial inclusion and micro-enterprise        | Broad banking and profit-oriented services |
| Area        | Rural, semi-urban and underserved areas         | Urban and rural areas                      |
| Customers   | Small entrepreneurs, farmers, low-income groups | Individuals, businesses, corporations      |
| Repayment   | Often frequent and structured                   | Based on loan agreement                    |

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## 14. A Complete Practical Example

### Case: Small Goat Farming Business

**Borrower:** रामबहादुर

**Location:** Rural Nepal

**Loan:** रु. १,५०,०००

**Purpose:** Goat farming

### Loan Utilization

| Purpose                   | Amount             |
|---------------------------|--------------------|
| Purchase of goats         | Rs. 100,000        |
| Shed improvement          | Rs. 25,000         |
| Feed and medicine         | Rs. 15,000         |
| Emergency working capital | Rs. 10,000         |
| <b>Total</b>              | <b>Rs. 150,000</b> |

### Process

Microfinance Group  
↓  
Regular Saving  
↓  
Loan Application  
↓  
Credit Assessment  
↓  
Loan Approval  
↓  
Goat Farming  
↓  
Income Generation  
↓  
Loan Repayment  
↓  
Business Expansion

यदि व्यवसाय सफल भयो भने:

**Microfinance → Capital → Business → Income → Repayment → Economic Improvement**

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## 15. Conclusion

**Microfinance Institutions are an important pillar of financial inclusion in Nepal.**

नेपालजस्तो:

- Geographically diverse country
- Large rural population भएको देश
- Low-income households धेरै भएको economy
- Small-scale agriculture र entrepreneurship महत्वपूर्ण भएको समाज

मा MFIs ले **small loans, savings, financial services** तथा **financial literacy** मार्फत economic opportunity विस्तार गर्न सक्छन्।

तर microfinance को वास्तविक सफलता **loan वितरणको मात्रामा होइन, loan को responsible use, affordable financing, financial literacy, productive investment र sustainable repayment** मा निर्भर हुन्छ।

### **Exam-Oriented Definition**

**Microfinance Institutions are specialized financial institutions that provide small-scale financial services such as microcredit, savings and other financial services to low-income people, rural households and small entrepreneurs to promote financial inclusion, income generation and economic development.**

नेपालमा MFIs नेपाल राष्ट्र बैंकद्वारा नियमन तथा सुपरिवेक्षण हुने **Class “D” financial institutions** का रूपमा financial inclusion र grassroots economic development मा महत्वपूर्ण भूमिका खेल्छन्।